

Financial Strategy

Business & Income Department

"The essence of business is exchange and trade. Where there is a market, there is a need — and there are those who provide the solution."

Current Financial Landscape

- The church's primary source of income comes from tithes and offerings — a foundation that reflects the faithfulness of the congregation.
- At present, the church occasionally turns to pledges and solicitations to address financial needs — a practice that works, but one that the church hopes to rely on less over time.
- Like many organizations, the church recognizes the importance of having a financial safety net for unexpected expenses and emergencies.
- Establishing an additional and independent source of income will strengthen the church's ability to serve its congregation and fulfill its mission long-term.

Mission & Vision

- **Mission:** To generate sustainable income for the church through organized business initiatives and sound financial management.
- **Vision:** A self-sustaining department that serves as a financial safety net for the church — ensuring funds are available for ministry needs, emergencies, and long-term growth without burdening the congregation.

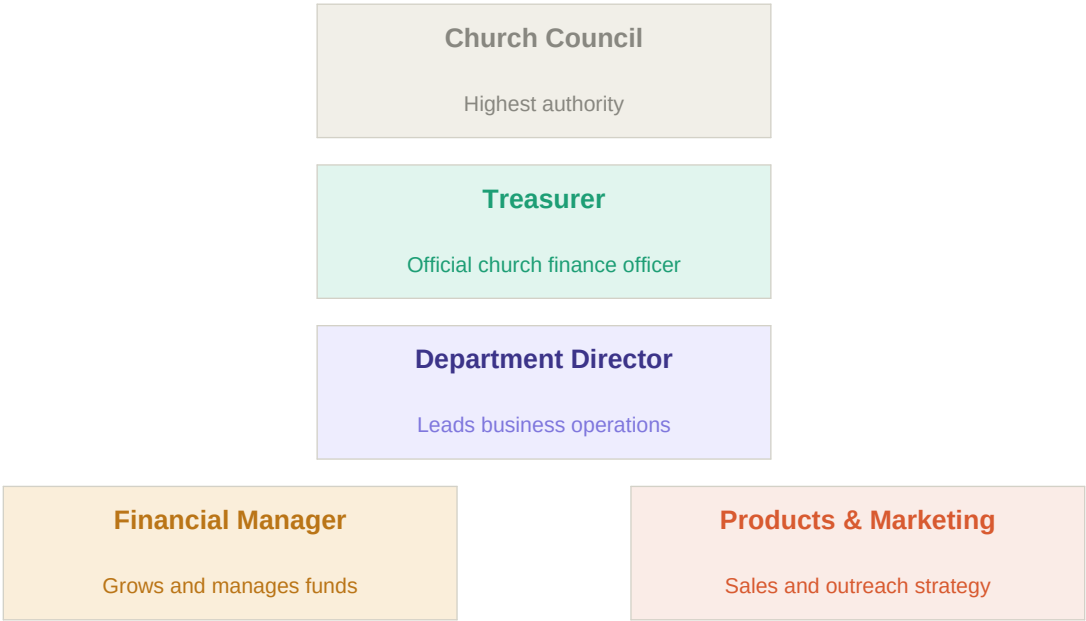
The Vision Behind This Department

This department is a seed. In its early months, the funds it generates will not be spent — they will be reinvested into the next product, and the next, growing quietly in the background. In time, what was planted will bear fruit. The generation that comes after us will not need to start from nothing — they will inherit something already growing. We are also acting now while our equipment is still new, before the cycle returns — before we find ourselves once again collecting pledges for the next project or the next emergency. This is not just a department. It is a foundation we are choosing to build today.

"Seeds don't grow faster just because the plan is beautiful. They grow because the environment is ready."

Organizational Structure

HIERARCHY



ROLES & RESPONSIBILITIES

Treasurer • Receives tithes and offerings • Records all transactions • Issues financial reports • Ensures accountability • Reports to council • Approves fund use	Department Director • Leads the department • Sets goals and strategy • Plans department programs • Oversees all operations • Reports to treasurer • Presents to council
Financial Manager • Allocates department funds • Finds investment options • Monitors cash flow • Plans fund growth • Budgets expenses • Reports to director	Products & Marketing • Identifies sellable products • Plans marketing campaigns • Manages district outreach • Tracks product performance • Sources suppliers • Reports to director

All department records — sales, expenses, and financial reports — will be maintained digitally using Google Sheets and Google Drive via the church's existing fiber internet connection, accessible to all department members at any time.

Rules & Policies

- The department fund **cannot be used** to cover General Fund shortfalls under any circumstance.
- The department will **contribute tithes** to the General Fund once a surplus is achieved.
- All financial decisions must be approved by both the Treasurer and the Department Director.
- A monthly financial report will be submitted to the Church Council.
- The department will undergo a **quarterly review by the Church Council** to assess financial performance, operational progress, and alignment with the department's mission.
- The department shall submit a **calendar of planned activities and asset growth initiatives** during the annual ecclesiastical planning, subject to council approval.

Conflict Resolution

No conflict — internal, operational, or external — is handled informally or verbally only. All disputes follow a clear escalation path.

Internal — Within the Team

All disputes between team members are raised directly with the Department Director. If the Director is involved in the dispute, it is escalated to the Treasurer. Decisions made at this level are final for operational matters.

Operational — Team vs. Charter Members

Any concern raised by a Charter Member regarding their contribution, return timeline, or fund usage is addressed in writing within 7 days. The Director and Treasurer respond jointly. If unresolved, it is brought to the Church Council.

External — Department vs. Other Departments

All inter-department agreements are documented before operations begin. Disputes are handled through the Department Director and the other department's president first. If unresolved within 14 days, it is escalated to the Church Council.

Capital Formation

To begin operations, this department needs startup capital. This capital will come entirely from **Charter Members** — church members who choose to contribute during the founding period. There is no required amount. Each person gives what they are genuinely able and willing to give — from the heart, not from pressure.

Who Are Charter Members?

Charter Members are the founding supporters of this department. They are the first people to say yes — before the department has earned anything, before it has proven anything. Their contribution is not a financial transaction. It is a declaration of belief in what this department can become.

Membership is open only to current church members, and only during the founding period.

What Happens to Your Contribution?

Your contribution goes directly into the department's startup fund — used to purchase initial products, cover early operating costs, and get the department running.

After **24 months**, you will receive your full contribution back — plus interest. The interest rate will be set and approved by the department team before the founding period closes.

The 24-month return depends on the department reaching a surplus. If that has not yet happened by the 24-month mark, the team will communicate clearly with all Charter Members and set a revised timeline.

After 24 Months — Your Choice

Once you receive your return, the decision is entirely yours. You may choose to re-contribute for the next cycle, or simply receive your return and step back. There is no obligation either way — the same spirit of freely-given faith that started the department should continue through every cycle.

Transparency Requirements

1. This is not a traditional investment. Returns are dependent on department performance — not guaranteed from the start.

2. There is real business risk. The early months will be slow. This is normal and expected. (See Appendix B: Growth Models)

3. Your contribution will be accounted for. Every peso contributed will be recorded and reported monthly.

4. Being a Charter Member does not give you authority over the department. It is a recognition that you were one of the first to believe — nothing more, nothing less.

A Note on Risk — Only Give What You Can Let Go

This department is built to grow. But like any new **venture**, the outcome cannot be fully guaranteed.

Before you contribute, ask yourself one honest question:

"Is this an amount I am at peace setting aside for 24 months — whatever happens?"

If the answer is yes — welcome to the founding team.

The goal is not to raise money. The goal is to gather people who believe — and let that belief become the department's foundation.

Burn Rate

Before the department spends a single peso, the team must understand one thing: how fast are we using what we have?

Capital — the fuel in the tank

The total amount contributed by Charter Members. This is what the department runs on before it starts earning.

Burn Rate — how fast the fuel is consumed

The total amount the department spends every month just to operate — booth setup, packaging, transport, and other costs — whether it earns or not.

Runway — how far the tank will take you

How many months the department can survive on capital alone, even if nothing is sold.

$$\text{Capital} \div \text{Burn Rate} = \text{Runway}$$

How much was contributed $\div$ How much is spent per month = How many months the department can survive without earning

Example

Total Charter Member contributions	PHP 5,000
Monthly burn rate (booth, packaging, transport)	PHP 500 / month
Runway	10 months

PHP 5,000 $\div$ PHP 500 = **10 months** before capital runs out — even if nothing is sold.

Why this matters

Keep the burn rate low — especially in Lean Season

Every peso spent without earning shortens the runway. In Lean Season, the goal is to stretch the capital as far as possible while proving the department can earn.

Income below burn rate = first Yellow Flag signal

When monthly income falls below the burn rate, the department is losing ground. This is the earliest warning — before the numbers get worse.

Safety Net must cover at least 3 months of burn rate

This ensures that even if income stops, the department has time to recover — or to exit responsibly without leaving Charter Members with nothing.

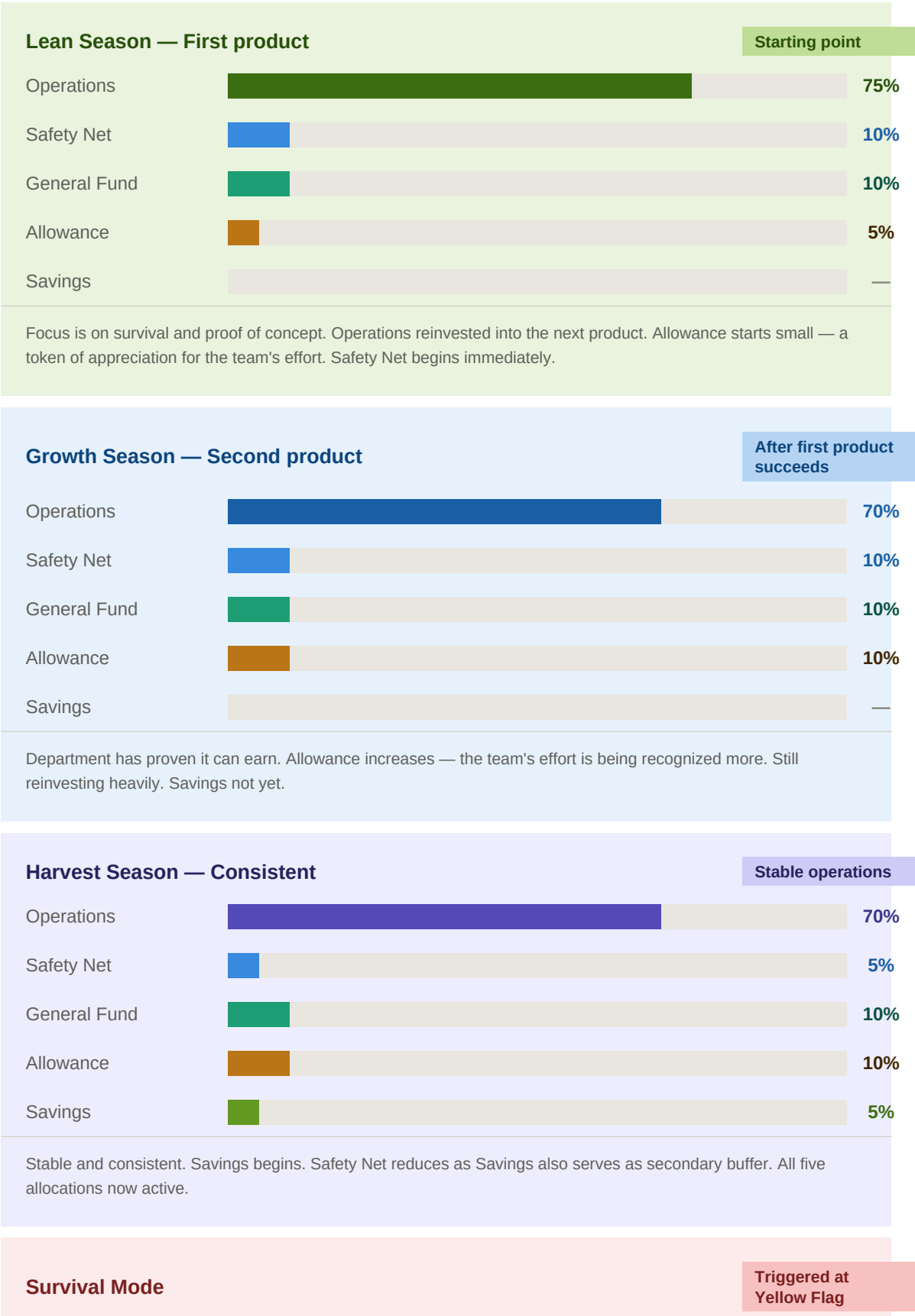
The actual burn rate will be calculated by the team before operations begin — based on real costs. The lower the burn rate, the longer the runway, and the more time the department has to grow.

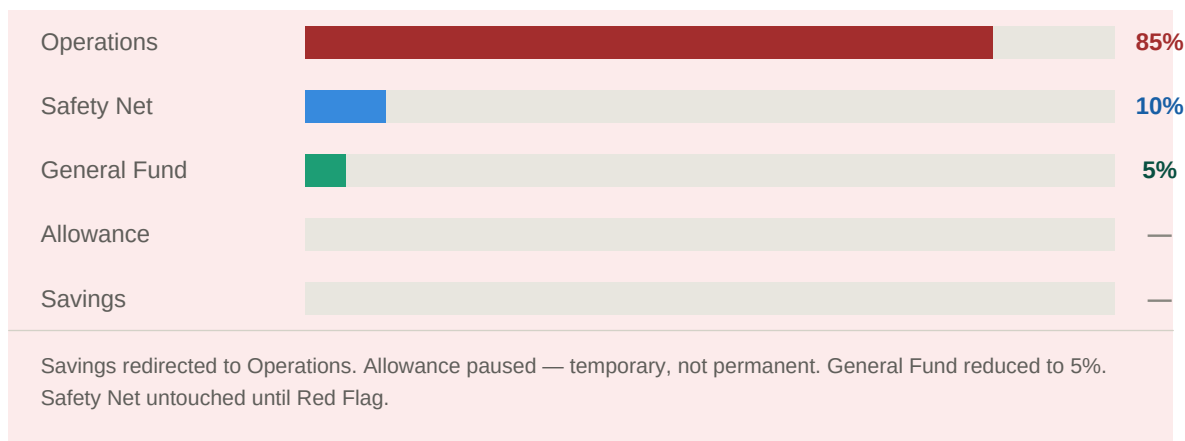
Budget Allocation

"If you were in the middle of the ocean, would you choose to drink seawater — or wait for fresh rain?"

Growth-First Strategy — The department does not consume everything it earns. The priority is growth — reinvesting income back into operations, building traction, and expanding reach. Allowances and returns come later, once the foundation is strong enough to sustain them.

Every peso earned is allocated across five purposes. The split evolves as the department grows — always reinvesting first, distributing later. The Operations fund is never spent — it is reinvested into the next product.





Why this order matters

Think of the department's funds as layers of protection — each one exists for a different reason, and each one is touched only when the one above it is no longer enough.

Operations — the engine

As long as it is running, there is still a chance to recover. This is never stopped — only reduced.

Savings — the first to go

It was built during good months precisely for moments like this. Using it now is not a failure — it is the reason it existed.

Safety Net — last line of defense

Only touched when the Red Flag is triggered. Its purpose is to give the department one final chance, and if not, to ensure Charter Members receive something back.

General Fund — paused, not cancelled

The department's commitment to the church does not disappear. It is simply deferred until the department is healthy enough to give again.

Allowance — paused, not forgotten

The team understands that in Survival Mode, the department's recovery comes first. Allowance resumes once the department is back on track.

The Safety Net is never touched unless a Red Flag is triggered. Each phase transition happens only after the current product has proven itself. General Fund tithes remain at 10% across all normal phases.

Allowance Policy

Clear rules on who earns, how much, and when — so the team knows what to expect, and conflict is avoided before it starts.

WHO RECEIVES THE ALLOWANCE?

All active team members directly involved in production and operations — those who show up, set up, and make the department run.

HOW MUCH?

Based on role. The exact percentage per role will be decided by the team upon formation. The principle: more responsibility, more allowance.

WHEN?

Monthly — distributed at the end of every month, based on that month's income.

WHAT IF INCOME IS LOW?

The allowance is a percentage of income — not a fixed amount. If income is low, the allowance is low. The team accepts this as part of the Growth-First Strategy.

WHAT IF IT IS SURVIVAL MODE?

The allowance is reduced — not eliminated. Even in difficult months, the team receives something for their effort. The exact reduced amount will be decided by the team.

Charter Members and Team Members — Two Separate Things

Being a Charter Member and being a Team Member are two different roles — with two different purposes. Contributing money does not mean you are required to work. Working does not mean you are required to contribute money. A person may choose to do one, the other, or both — but the roles are always kept separate, and the benefits of each are never mixed.

Charter Member

You contributed money during the founding period. Your role is to believe and to wait — not to work. Your return comes after 24 months. You are not required to join the team.

Team Member

You contribute time and effort to run the department. Your role is to operate and grow the business. Your allowance is paid monthly. You are not required to contribute money.

The Three Possible Scenarios

You contributed money AND chose to join the team.

You receive two separate things: a monthly allowance for your work, and a 24-month return for your investment. These are never combined, exchanged, or offset against each other. Your allowance does not reduce your return. Your return does not replace your allowance.

You contributed money but did NOT join the team.

You do not receive a monthly allowance — you are not working. Your return comes after 24 months, as agreed from the beginning. Your only obligation is to wait.

You joined the team but did NOT contribute money.

You receive a monthly allowance for your work. There is no 24-month return — you did not invest capital, and no return was ever promised to you. Your contribution is your time.

Why this matters: Without clear rules on allowance, teams burn out, conflict grows, and core members leave. With clear rules, loyalty strengthens and the system lasts.

The exact allowance percentage per role will be finalized by the department team upon formation — before operations begin. No one starts working without knowing what they will receive.

Income Strategy

District Meetings

Short-term

- Products: To be determined by the department team — with multiple products explored as the department grows
- Venue: District meetings — held every 1st week of the month
- Goal: Establish the department, recover startup costs, and prove the product in a real market setting
- Startup cost and projected income per meeting: to be determined by the team

Reseller Partnership

Church-wide

- Department presidents of other departments may take a set amount of products to sell within their own circles
- In return, the selling department receives a **commission from each sale** — giving them a source of funds for their own ministry needs
- This expands product distribution across the church without requiring additional booth operations
- Proposed split: **80% returns to this department / 20% goes to the selling department**
- Final percentage to be decided by the department team upon formation

The Reseller Partnership turns every department in the church into a potential distribution channel — benefiting the whole church, not just this department.

Cafe Cart Operations

Mid-term

The cafe cart is the department's core business engine — a mobile, scalable income channel operating across multiple venues simultaneously.

The cafe cart transitions the department from event-only income to a multi-channel, recurring revenue model. Each venue operates independently — a slow month in one channel does not affect the others.

Social Media Presence

Long-term

- Platform: Facebook (leveraging existing fiber internet and Sunday service content)
- Strategy: Consistent posting of worship, devotionals, and church life content to grow audience
- Monetization: Facebook requires 5,000 followers and 60,000 minutes of watch time to qualify
- Goal: Build a passive income stream that earns even outside of events and meetings

This is a future vision — slow and consistency-dependent, but once achieved, it generates income without additional cost or effort. Subject to council approval when the department is operational.

Conclusions

- This department does not replace tithes or offerings — it **supplements and protects** the church's finances.
- It provides the church with an **additional and independent source of income**.
- It creates a **financial safety net** so that emergencies do not disrupt the church's allocated budget.
- The department **contributes tithes to the General Fund** — treating its income as an act of stewardship, not just operations.
- Through the Reseller Partnership, **other departments also benefit** — making this a church-wide financial support system.
- The cafe cart creates **recurring, multi-venue income** — from school canteens to branch church events — reducing reliance on single-event income.
- The National Youth Conference is a high-potential opportunity available only once a year — early approval is key.
- The pilot plan requires minimal startup cost and carries low financial risk to the church.

Performance & Exit Framework

We do not plan for failure. We plan for learning. This framework defines how the department measures success, responds to decline, and exits with integrity — or restarts with a new seed.

Success Metrics

The department tracks three key metrics every month. These are the signals that tell the team — and Charter Members — how the department is doing.

Monthly Income

The total income earned across all baskets for the month. The minimum target will be set and agreed upon by the department team upon formation.

Products Sold

The number of units sold across all channels. Even when income is flat, a rising sales count signals growing demand.

General Fund Contribution

Whether the 10% tithes contribution was made this month — the clearest signal of financial health.

24-Month Milestone

After 24 months of operation, Charter Members receive their full contribution back plus interest — provided the department has reached a surplus. This is the single most important milestone of the first cycle.

Flag System

The department uses a two-level warning system based on monthly income performance.

Yellow Flag

Trigger: 3 consecutive months of declining income

The team meets immediately to assess what is happening and adjust strategy. This is not a crisis — it is a signal to act before it becomes one.

Red Flag — Exit Plan Activated

Trigger: 3 consecutive months below the minimum income target

The Exit Plan is activated. All Charter Members are informed immediately. Operations begin the wind-down process.

Leadership Protection Rule

When pressure builds — financial, relational, or operational — emotions rise with it. And when emotions are high, even well-meaning people make decisions they later regret. This rule exists to protect the Director and Treasurer — and the department — from decisions driven by how the team feels in the moment rather than what the data actually says.

No decisions made under emotional pressure — feelings are valid, but data decides.

When a Yellow or Red Flag is triggered, all major decisions must be scheduled — not reactive. The team meets within 7 days of the trigger. No decisions are made in the same conversation where the problem is first raised.

All major decisions require data, not pressure.

No product will be dropped, no fund will be reallocated, and no Charter Member return will be accelerated based on verbal pressure alone. Every major decision must be supported by the monthly financial report.

The process decides — not the loudest voice in the room.

The Flag System, Budget Allocation phases, and Exit Plan exist precisely so that no single person — not the Director, not a Charter Member, not the Council — can force a decision outside of the established process.

Pressure from outside the team does not override the process.

Charter Members who demand early returns, or team members who push for decisions outside the proper timeline, are reminded — respectfully but firmly — that the process protects everyone, including them.

This rule does not prevent the team from responding to problems. It prevents the team from responding to panic. The difference between the two is what separates departments that recover from departments that collapse.

Exit Plan

"I know this department may not succeed. But I would rather pursue the possibility of what it could become than be stopped by the fear of what might go wrong. The opportunity ahead is worth more than the risk behind it."

When Does the Exit Plan Apply?

This plan takes effect when the department team assesses that operations are no longer sustainable and a decision to pause has been made. Charter Members will be informed immediately once this decision is reached.

Step 1 — Pause Operations

All income activities are stopped immediately. The team assesses what can still be recovered — remaining stock, outstanding payments, and any assets that can be liquidated.

Step 2 — Final Financial Report

A complete financial report is prepared — documenting how much is left, where every peso went, and the current state of all department funds. This report is shared with the full team.

Step 3 — Return to Charter Members

Based on the Final Financial Report, one of two scenarios will apply:

Scenario A — Funds remaining: All remaining funds are distributed back to Charter Members on a pro-rated basis. Any balance after distribution goes to the General Fund.

Scenario B — No funds remaining: There is nothing to return. This is an accepted risk acknowledged by every Charter Member before contributing — as stated in the Transparency Requirements.

Step 4 — Close With Integrity

Once all Charter Members have been informed and the return process is completed, the department officially closes. All records are preserved for future reference. The team parts ways with honesty, accountability, and the knowledge that they gave it their best.

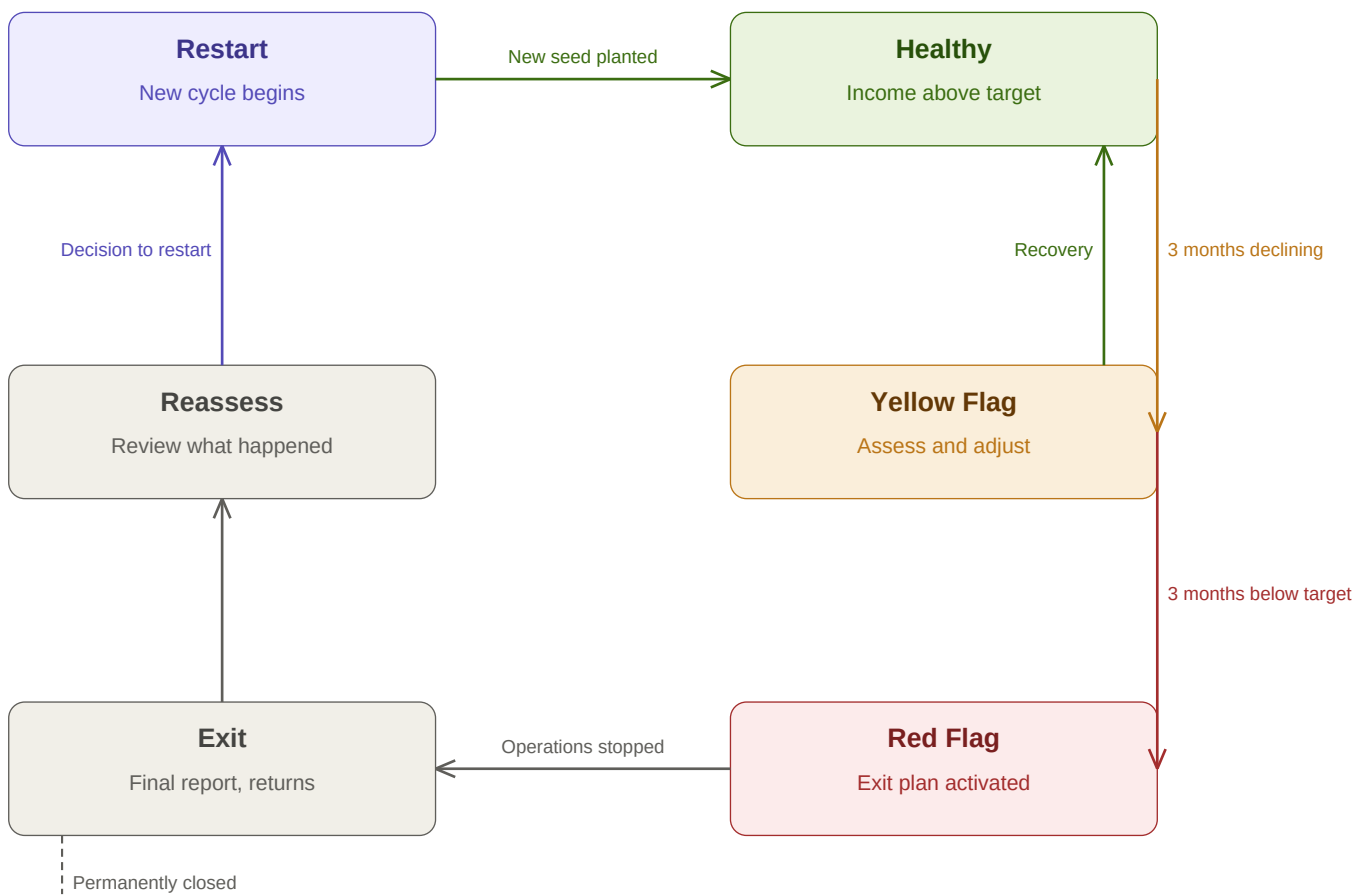
Step 5 — Reassess and Restart

After closing, the team may choose to reassess — review what worked, what did not, and whether a restart is possible with a revised plan. A restart begins a new cycle: new Charter Members, new products, new seed. There is no shame in a second attempt. The first cycle is the foundation.

The Exit Plan is not an expectation of failure. It is a commitment to integrity — ensuring that no matter what happens, every person involved is treated with honesty and respect.

Department Lifecycle

This diagram shows the full cycle — from a healthy operation, through warning flags, to exit, reassessment, and a possible restart.



This department is built to grow — and built to last. But if the time ever comes to pause, this framework ensures that every step is handled with the same integrity that started it.

Product Development Framework

For internal use by the department team when evaluating future products and services. Use this before committing time, money, or effort to any new idea.

The Competition Principle

Before evaluating any new product, the team must internalize this mindset:

RC Cola did not stop Coca-Cola. Samsung did not stop Apple. McDonald's did not stop Jollibee. G-Shock did not stop Rolex.

The existence of competition is not a reason to stop — it is **proof that demand exists**. Every successful competitor in a market is evidence that people are already willing to pay for that category of product or service.

The real question is never "why make this when something similar already exists?" The real question is: **what can we offer that the existing options do not?**

- Similar is not the same. Two products can serve the same need in entirely different ways.
- Competition validates the market. If no one is doing it, ask why — not as a reason to stop, but as a question worth answering.
- Find the gap. Price, accessibility, relationship, trust, convenience — any one of these can be your advantage.
- The goal is not to build something no one else has. The goal is to build something this community will choose.

Do not let the presence of existing products discourage new ideas. Let it sharpen them.

Competitor Analysis

Use this before committing to any product. Study who else is selling the same thing — then find where you can do it better, differently, or more meaningfully for your community.

Who are the competitors?	List existing sellers of the same or similar product in your market.
What is their price?	Is there a gap where you can offer more value at the same price — or the same value at a lower price?
How do they sell?	Location, packaging, approach. What do they do well? What do they ignore?
Who is their customer?	Are they reaching the same people you want to reach? Is there an underserved group?
What is missing?	What do customers wish the existing options had? That is your opening.

Competitor	What they sell	Their advantage	Their gap

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After filling the table, answer these two questions:

- "What gap can we fill that none of them are filling?"
- "What is our one clear advantage — price, relationship, convenience, or trust?"

If you cannot identify a gap or an advantage, the product may not be ready yet. Go back and study the market further.

STEP 1 — THREE QUESTIONS TO ANSWER

1. "They are struggling with _____"
2. "They feel this every time _____"
3. "We will help them through _____"

STEP 2 — ONE-LINE STATEMENT TO TEST YOUR IDEA

"We help _____ who struggle with _____
by providing _____ when _____."

STEP 3 — FORMULA TO SHARPEN A BROAD IDEA

Who One specific person or group in the church or community
Pain One recurring, costly problem they face
Context One predictable time or situation when they feel it
Solution One minimal, tangible value the department can offer
Measure One signal that shows people are returning or engaging

STEP 4 — DEFINE YOUR SIGNATURE STRATEGY

Before committing to any product or service, answer this question:

"Our product is _____, but what people will remember is
_____."

If you cannot complete that sentence, the product is not ready. See Appendix C for the full Signature Experience Framework.

Growth Models — Department Playbook

A reference guide for the team. When things feel uncertain, come back to these.

J-Curve

Invest before you earn



You must invest time and money before seeing returns. The dip at the start is not failure — it is the process.

For us: The first months will be slow. Stay the course.

S-Curve

Every product has a ceiling



Growth will slow and plateau. When it does, the answer is to launch a new curve — not to give up.

For us: When one product slows, introduce the next.

The Dip

Push through or quit early



Most people quit during the hard phase. Those who push through are the ones who succeed.

For us: Expect resistance in months 1 to 3. That is normal.

Compound Effect

Consistency over motivation



Small consistent actions build into massive results. 1% better every week is 52% better in a year.

For us: Reinvest every peso. Do not skip the small steps.

The Cycle

Ups and downs are normal



Sales will go up and down. Monthly peaks and off-seasons are part of the cycle — not signs of failure.

For us: District meetings plus the conference — built-in cycle.

The Plateau

Internal growth before external

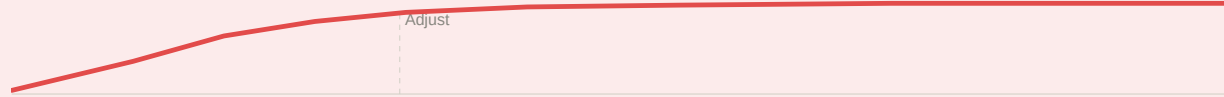


Sometimes progress is not visible yet. Internal growth happens before external results show up.

For us: A quiet month does not mean a failing department.

Law of Diminishing Returns

Same effort, less return over time



Putting more effort into the same product eventually yields smaller and smaller returns. The answer is not to try harder — it is to try differently.

For us: When a product stops growing despite more effort, it is time to pivot — not push harder.

For a full explanation of Sequential and Agile Development — including how this business uses both — see Appendix H: Development Methodology.

Signature Experience Framework

A product gets people to buy once. A signature strategy gets them to come back. This framework helps the team define not just what to sell, but how to be remembered.

What Is a Signature Strategy?

A signature strategy is the layer on top of the product — the reason a customer chooses you over someone selling the same thing. It is not a gimmick. It is a deliberate decision about how your product will make people feel, what it will mean to them, or what makes it worth choosing at your price.

The product is the entry point. The signature strategy is why they return.

Three Types of Signature Strategy

Experience How buying from you FEELS — the atmosphere, the interaction, the memory it creates.	Identity What buying from you SAYS about the customer — it connects them to a community, a value, or a belief.	Value What buying from you GIVES beyond the product — a bonus, a gesture, an unexpected extra that makes it worth more than the price.
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The Signature Statement

Use this statement when evaluating any new product or service. Complete both blanks before moving forward.

"Our product is _____, but what people will remember is _____."

If the second blank is empty — if the only answer is the product itself — the strategy is not yet defined. Go back and choose one of the three types above before proceeding.

Brainstorming Questions for the Team

- If two people are selling the exact same product next to each other, why would someone choose ours?
- What is one small detail we could add that costs very little but changes how people feel when they receive it?
- Would a customer tell someone else about this product — and if so, what would they say about it?
- Is there a way to connect this product to the church's identity, values, or community — so that buying from us feels like belonging, not just spending?

The goal is not to be the biggest. The goal is to be the one people remember — and return to.

Business Risk Assessment

Every new venture carries risk. Acknowledging these risks is not a sign of doubt — it is a sign of responsible planning. This assessment is divided into two parts: risks that affect the entire department, and risks specific to each income basket.

PART 1 — Department-Wide Risks

These apply to all income baskets — not just one product or activity.

Risk	Type	Impact	Mitigation / Contingency
Team Burnout Volunteers have other responsibilities — fatigue reduces consistency	Internal	Medium	Define clear roles. Rotate responsibilities. Recognize team contributions regularly.
Leadership Changes Director or Treasurer steps down or is reassigned	Internal	Medium	Document all processes and decisions so any incoming leader can continue without starting from zero.
Financial Mismanagement Money that is not properly tracked is money that is hard to explain. Even a small unrecorded expense can raise questions that are difficult to answer.	Internal	High	Keep a record of every transaction. All money in and out must be approved by both the Director and the Treasurer before it is spent. Monthly summary shared with the full team.
Brand Erosion A competitor gains more visibility and is perceived as the original by people who do not know us	External	High	Build a social media presence early — not just for income, but to establish that we were here first. Document our story from day one.
Future Copycats If we succeed, others will notice and do the same thing	External	Medium	The product can be copied — the experience and trust cannot. Apply the Signature Experience Framework (Appendix C).
Market Shifts A product that sells well today may not sell as well next year	External	Medium	Before a product stops growing, start developing the next one. Apply the S-Curve principle (Appendix B).

PART 2 — Per-Basket Risks

"Don't put all your eggs in one basket."

The department runs multiple income baskets — and each one comes with its own set of risks. What affects the cafe cart may not affect the reseller partnership, and vice versa. Knowing the risks per basket helps the team respond to the right problem without disrupting everything else.

District Meetings

Risk	Type	Impact	Mitigation / Contingency
Event Cancellation Meeting cancelled or rescheduled without notice	External	Medium	Never plan finances around a single event. Other baskets provide income that is not tied to scheduled meetings.
Low Attendance Fewer people than expected show up	External	Low	Track attendance vs. sales after every event to find the right product-event fit over time.
Products Don't Sell Items are not moving — money is stuck in unsold stock	Internal	Medium	Start small. Test with a limited quantity before ordering in bulk. Use the Competitor Analysis template before choosing any product.
No Team Available Members unavailable on event day	Internal	High	Require at least two people per event. Keep a backup list. It is better to skip a booth than to run it poorly.

Reseller Partnership

Risk	Type	Impact	Mitigation / Contingency
Products Not Sold Items taken by reseller but not moved — stock is stuck	External	Medium	Set a clear return policy. Products not sold within the agreed period must be returned or paid for.
Wrong Selling Price Reseller sells at the wrong price without knowing	External	Medium	Give every reseller a simple product brief — the correct price, how to describe it, and what not to say.
Conflict Between Departments A disagreement affects relationships within the church	Internal	High	Keep all agreements clear and in writing. Handle any disagreement through proper channels — not informally.

Cafe Cart Operations

Risk	Type	Impact	Mitigation / Contingency
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Venue Pulls Out A school or branch church withdraws permission to operate	External	High	Always operate in more than one venue. Losing one location should not stop the whole operation.
Equipment Breaks Down Cart or tools fail during operations	Internal	Medium	Set aside a small maintenance fund. Check equipment before every use. Have a backup plan for manual operations.
Supplier Price Increase Cost of goods goes up — profit shrinks	External	Medium	Always have at least two suppliers per product. Review prices regularly and adjust selling price when needed.
Inconsistent Product Quality Product varies between locations or team members	Internal	High	Create a simple step-by-step guide for every product. Do a quality check before every shift.

Social Media

Risk	Type	Impact	Mitigation / Contingency
No One Posting No assigned person — content stops, audience drops	Internal	Medium	Assign one dedicated person. Even two posts a week is enough to stay visible. Create a simple content schedule.
Negative Public Comment A complaint or bad review is visible to everyone	External	Medium	Always respond calmly and professionally. Never delete — address it. A well-handled complaint builds more trust than silence.
Platform Changes Facebook changes its rules or how content is shown	External	Low	Social media is a secondary income basket. If it is delayed or disrupted, the other baskets are not affected.
Slow Follower Growth Takes longer than expected to reach 5,000 followers	External	Low	This is expected — social media takes time. Keep posting consistently. The goal is visibility, not speed.

This is a living document. As the department grows and new products are introduced, this table should be updated. New product? New basket? Run the same assessment.

Product Discovery & Validation Framework

For internal use by the department team before any product is selected. This framework ensures the department does not spend a single peso of Charter Member funds on a product that has not been observed, tested, and validated — in that order.

Why This Appendix Exists

A department with strong financial systems but no validated product is a well-organized ship with no destination. This framework exists to answer the one question everything else depends on:

"What will we sell — and how do we know people will actually buy it?"

Do not skip this. Do not rush through it. The team that takes the time to validate before spending is the team that survives the first six months.

The Sequence

This framework follows a fixed order. Each step depends on the one before it. Do not move to the next step until the current one is complete.

Step 1 — Observe

Before you spend anything — go to the market and watch. See what people actually buy, what they ignore, and what they cannot find. Your product idea should come from what you observe, not what you assume.

Step 2 — Filter

Not every product that looks good will actually sell. Run it through the 3 Product Filters — Demand, Margin, and Repeatability. All three must pass. One failure means the product is not ready — go back and look again.

Step 3 — Test

Before any department money is spent, the team sells the product using personal money first. This is the proof of belief — if the team is not willing to spend their own money on it, the product should not go to Charter Members.

Step 4 — Commit

Only after the test passes do department funds come in. By this point, the product has already sold. Charter Members are not funding a hope — they are funding something the team has already proven works.

Part 1 — Observation Guide

Before the team picks a product, someone must go to the market and watch. This is not a casual visit. It is structured observation with a specific purpose: to find a gap that a product or service can fill.

Attend at least two district meetings as an observer before forming any product opinion. The team that assumes without observing is the team that buys inventory no one wants.

OBSERVATION QUESTIONS

What are people buying?	List what is already selling. Note the price, packaging, and how fast it moves.
What are people looking for — but cannot find?	Watch for people who walk around, look at options, and leave without buying. That gap is your opening.
What do people complain about?	Listen. A complaint is a product brief written by the customer.
Who is not being served?	Are there groups of people — by age, budget, or preference — that current sellers are ignoring?
When do people buy most?	What time of the meeting? What situation triggers a purchase? Hungry after the sermon? Tired and looking for something to drink?

Observation Log

Use this table during or immediately after attending a meeting. Fill it in while the observations are still fresh.

What I saw people buying	What seemed missing	Notes on complaints / gaps

Part 2 — The 3 Product Filters

Before committing to any product idea — no matter how good it sounds — it must pass all three filters. One failed filter is enough to pause and reconsider.

Filter 1 — Demand

Is there proof that people will buy this?

Demand must be observed or demonstrated — not assumed. Seeing similar products sell well at meetings is a signal. Thinking "people will probably like this" is not.

Filter 2 — Margin

Will we earn enough after all costs?

List every cost: product, packaging, transport, booth setup, any permits. Calculate profit per unit. If the margin is too thin to sustain the department, the product is not ready at its current pricing.

Filter 3 — Repeatability

Will people come back for this — or buy it only once?

A product people buy every meeting is worth ten products people buy once. Prioritize products that create returning customers, not just first-time buyers.

Filter Scorecard

Use this to evaluate each product idea. All three must pass before moving to the test phase.

Filter	How we will verify it	Pass / Fail
Demand	Observed similar products selling at meetings / confirmed interest from target customers	
Margin	Costed all expenses — product, packaging, transport — and confirmed profit per unit	
Repeatability	Identified a reason customers would return for this product regularly	

If any filter is marked Fail — stop. Do not proceed to the test phase. Go back to observation and find a product that passes all three.

Part 3 — Minimum Viable Test

The Rule Before Spending Charter Member Funds

Before a single peso of Charter Member capital is spent on a product, the team must first sell that product using their own personal money — at least once — and confirm it earns.

"Sell before you scale."

This is not a formality. It is the team's way of saying: we believe in this product enough to spend our own money first. If we are not willing to do that, we should not ask Charter Members to.

MVT Conditions

Source of funds	Personal money from team members — not the department fund, not Charter Member capital.
Venue	One district meeting — the smallest, most controlled test environment available.
Minimum pass condition	At least 60% of the test stock must sell. If less than 60% sells, the product does not pass.
What happens if it passes	The team proceeds to product planning with Charter Member funds — with a product that has already proven it can sell.
What happens if it fails	The team goes back to Part 1. The personal money spent is the cost of learning — far less expensive than spending Charter Member funds on an unproven product.

MVT Record

After running the test, complete this record before the team meeting.

Product tested	_____
Date of test	_____
Venue	_____
Amount personally spent by team	_____
Units brought	_____
Units sold	_____
% sold (units sold ÷ units brought)	_____
Total income from test	_____
Did the product pass the 60% threshold?	_____
Team decision	_____

Part 4 — Product Commitment Checklist

When the product has passed the MVT, the team completes this checklist before committing department funds and beginning full operations. Every item must be checked before the department moves forward.

MARKET & CUSTOMER

- We have identified who the target customer is — specifically, not generally.
- We have observed this customer buying similar products at district meetings.
- We know what gap our product fills that existing sellers do not.

COSTING & SUPPLIERS

- We have canvassed at least two suppliers for the product.
- We have a complete cost breakdown: product cost, packaging, transport, booth setup.
- We have calculated the selling price and confirmed the margin is sustainable.
- We know our break-even point — how many units we must sell to cover all costs.

VALIDATION

- The product has passed all three filters (Demand, Margin, Repeatability).

- The product has passed the Minimum Viable Test — at least 60% sold using personal funds.
- The team is in agreement that this product is ready for department funding.

STRATEGY

- The Signature Statement has been completed for this product (see Appendix C).
- The team has identified what will make customers return — not just buy once.
- A simple step-by-step guide for producing or preparing the product has been written.

APPROVAL

- The product plan has been reviewed and approved by the Department Director.
- The product plan has been reviewed and approved by the Treasurer.
- The budget for the first product run has been set and documented.

The Final Gate

Before Charter Member recruitment begins, the team must be able to answer yes to this single question:

"Have we already sold this product — at least once — using our own money, and did it earn?"

If the answer is yes — the department has a validated product. Charter Members are not being asked to fund a hope. They are being asked to fund something the team has already proven.

This appendix is a living document. As new products are introduced in later phases, the team returns to Part 1 and runs the full sequence again. Every product — first or fifth — earns its place through observation, filtering, and testing.

Business Terms Reference

This appendix exists so that no one reads the rest of this document and gets lost on a word. Every term here appears somewhere in this plan — and every definition below shows exactly where it connects to our operations.

These are not textbook definitions. They are working tools. Read this once when you join the team — and come back whenever a term in the main document needs context.

MEASURING GROWTH

Traction

Proof that the business is moving

Traction (Proof that the business is moving) is evidence that your business is not just an idea — it is actually working. It is the difference between "we have a plan" and "we have results."

EXAMPLE	If our booth sells out every district meeting and customers start asking when the next one is — that is Traction (Proof that the business is moving). The momentum is real.
IN OUR BUSINESS	Our Traction (Proof that the business is moving) shows up in three places: monthly income growing, products sold increasing, and retained earnings being set aside consistently. These are the three KPIs (Key Performance Indicators) tracked in our Performance Framework.
WHY IT MATTERS	Investors and council members look for Traction (Proof that the business is moving) before they trust a business plan. It answers the question every supporter asks quietly: "Is this actually working?"

KPI

Key Performance Indicator

A KPI (Key Performance Indicator) is a specific number that tells you whether the business is moving in the right direction. Not a feeling — a number.

EXAMPLE	Monthly income of PHP 3,000 is a KPI (Key Performance Indicator). "We did okay this month" is not.
IN OUR BUSINESS	This business tracks three KPIs (Key Performance Indicators): monthly income, products sold, and whether retained earnings were set aside. These are found in the Performance & Exit Framework section.
WHY IT MATTERS	Without KPIs (Key Performance Indicators), the team cannot agree on whether things are going well or poorly. A KPI (Key Performance Indicator) removes opinion from the conversation and replaces it with fact.

Conversion Rate

The percentage of people who said yes

Conversion Rate (The percentage of people who said yes) is how many people who encountered your product actually bought it — expressed as a percentage.

EXAMPLE

If 100 people passed our booth and 8 of them bought something, our Conversion Rate (The percentage of people who said yes) is 8%.

IN OUR BUSINESS

At every district meeting and event, the team can track Conversion Rate (The percentage of people who said yes) by counting foot traffic versus actual buyers. A rising Conversion Rate (The percentage of people who said yes) is a sign that the product, pricing, or presentation is improving.

WHY IT MATTERS

A low Conversion Rate (The percentage of people who said yes) means people are looking but not buying. That is a signal — either the price is off, the product is unclear, or the presentation needs work.

Churn Rate

The percentage of customers who did not come back

Churn Rate (The percentage of customers who did not come back) measures how many customers bought once and never returned. High Churn Rate (The percentage of customers who did not come back) means the business is working hard to find new customers just to replace the ones it already lost.

EXAMPLE

If 20 customers bought from us last month and only 12 returned this month, 8 customers churned — a Churn Rate (The percentage of customers who did not come back) of 40%.

IN OUR BUSINESS

Our Signature Experience Framework (Appendix C) exists specifically to lower Churn Rate (The percentage of customers who did not come back). The reason people return is not just the product — it is the experience and identity attached to it. Filter 3 of our Product Filters (Repeatability) also directly addresses this.

WHY IT MATTERS

A high Churn Rate (The percentage of customers who did not come back) quietly destroys a business. Every peso spent finding a new customer to replace one that left is a peso that should have stayed in retained earnings.

CAC

Customer Acquisition Cost

CAC (Customer Acquisition Cost) is how much the business spends to bring in one new customer. Every peso spent on booth rental, flyers, packaging, and transport to reach buyers is part of CAC (Customer Acquisition Cost).

EXAMPLE

If we spent PHP 500 on flyers and those flyers brought in 10 new buyers, our CAC (Customer Acquisition Cost) is PHP 50 per customer.

IN OUR BUSINESS

CAC (Customer Acquisition Cost) in our business covers every peso spent to reach a new customer — booth rental, packaging, transport to the event, and any promotional material. The goal is to keep CAC (Customer Acquisition Cost) low, because every peso saved on acquisition is a peso that stays in operations.

WHY IT MATTERS

A high CAC (Customer Acquisition Cost) with a low selling price means the business is spending more to find customers than it earns from them. This is one of the earliest signs that either the marketing approach or the pricing needs to change.

LTV

Lifetime Value

LTV (Lifetime Value) is the total amount a single customer will spend with the business over the entire time they remain a customer — not just from one purchase, but from all future ones.

EXAMPLE

If a customer buys from us every district meeting for 12 months at PHP 80 per visit, their LTV (Lifetime Value) is PHP 960.

IN OUR BUSINESS

LTV (Lifetime Value) is why the Repeatability filter and the Signature Experience Framework matter so much. A customer who returns every meeting without us spending anything to bring them back is the most valuable customer we have. The rule is simple: LTV (Lifetime Value) must always be greater than CAC (Customer Acquisition Cost) for the business to be sustainable.

WHY IT MATTERS

LTV (Lifetime Value) answers the question: "Is it worth spending money to get this customer?" If a customer will only ever buy once, the CAC (Customer Acquisition Cost) must be very low. If a customer returns for years, we can afford to spend more to reach them.

Bootstrap

Building the business using only what you earn

To bootstrap (Build the business using only what you earn) means to grow the business without taking on debt or relying on outside funding beyond the initial Charter Member contributions. Every peso of growth comes from what the business itself earns.

EXAMPLE

Instead of borrowing PHP 20,000 to expand, we reinvest PHP 2,000 of this month's earnings into the next product — and grow from there. That is bootstrapping (Building the business using only what you earn).

IN OUR BUSINESS

This entire business is built on a bootstrap (Build the business using only what you earn) model. The Growth-First Budget Allocation — where operations are reinvested before anything is distributed — is the bootstrap (Build the business using only what you earn) strategy in practice.

WHY IT MATTERS

Bootstrapping (Building the business using only what you earn) means the business answers to no one but itself. No debt. No pressure from outside lenders. Slower growth — but growth the business owns completely.

Monetization Strategy

The plan for how the business earns money

A Monetization Strategy (The plan for how the business earns money) is not just "sell things." It is a clear, deliberate decision about which channels generate income, how each one works, and how they complement each other.

EXAMPLE

A business that sells at events AND has resellers AND runs a cafe cart AND builds a social media following has four monetization channels — that is a Monetization Strategy (The plan for how the business earns money).

IN OUR BUSINESS

Our Monetization Strategy (The plan for how the business earns money) is built across four channels: district meeting sales (short-term), reseller partnerships (church-wide), cafe cart operations (mid-term), and social media presence (long-term). Each channel is detailed in the Income Strategy section.

WHY IT MATTERS

A single-channel business is fragile — one bad event and income stops. A Monetization Strategy (The plan for how the business earns money) with multiple channels means a slow month in one place does not stop the whole operation.

VALIDATING THE PRODUCT

Product-Market Fit

The moment the product and the right customers find each other

Product-Market Fit (The moment the product and the right customers find each other) is when a product meets a real need so well that customers seek it out — without the business having to push hard to sell it.

EXAMPLE

You know you have Product-Market Fit (The moment the product and the right customers find each other) when customers start asking "when is the next one?" before you even announce it.

IN OUR BUSINESS

The Minimum Viable Test in Appendix E — where at least 60% of test stock must sell using personal money — is how we look for early signals of Product-Market Fit (The moment the product and the right customers find each other). Passing that threshold means the product has a real place in the market.

WHY IT MATTERS

Without Product-Market Fit (The moment the product and the right customers find each other), every peso spent on marketing is wasted. Finding it first — through observation and testing — is the reason Appendix E exists.

Pivot

A strategic change of direction based on what the market is telling you

A Pivot (Strategic change of direction based on what the market is telling you) is not giving up. It is using what you learned from one product or approach to make a smarter decision about the next one. The goal — sustainable income — does not change. The method does.

EXAMPLE

A business that started selling bottled iced tea notices customers keep asking for fruit shakes. Shifting to fruit shakes is a Pivot (Strategic change of direction based on what the market is telling you) — not failure.

IN OUR BUSINESS

Our Flag System tells the team when a Pivot (Strategic change of direction based on what the market is telling you) may be needed. Three consecutive months of declining income is a Yellow Flag — a signal to assess whether the product, channel, or approach needs to change. The S-Curve in Appendix B also explains when to introduce a new product line rather than pushing harder on one that has plateaued.

WHY IT MATTERS

The teams that fail are not always the ones with bad products — they are often the ones that kept pushing the same approach long after the market stopped responding. A Pivot (Strategic change of direction based on what the market is telling you) is the business listening.

Network Effect

When the business becomes more valuable as more people join

A Network Effect (When the business becomes more valuable as more people join) happens when every new person added to a system makes the system better for everyone already in it. Growth feeds more growth.

EXAMPLE

A messaging app with 10 users is almost useless. The same app with 10 million users is essential. Each new user increases the value for all existing users — that is a Network Effect (When the business becomes more valuable as more people join).

IN OUR BUSINESS

Our Reseller Partnership is built on the Network Effect (When the business becomes more valuable as more people join). Every department that joins as a reseller adds a new distribution channel — and each new channel makes the whole network stronger. More resellers means more reach, more sales, and more departments benefiting from the system.

WHY IT MATTERS

A business with a strong Network Effect (When the business becomes more valuable as more people join) is difficult to replace — because removing it would hurt everyone connected to it. That is exactly what we are building through the reseller network.

Viral Loop

When existing customers bring in new customers — automatically

A Viral Loop (When existing customers bring in new customers — automatically) is when your product or experience is good enough that customers share it with others without being asked. Each new customer can potentially bring in more — creating a self-feeding cycle of growth.

EXAMPLE

A customer buys from our booth, enjoys the experience, and tells three friends before the next meeting. Those three friends become customers and tell others. That chain reaction is a Viral Loop (When existing customers bring in new customers — automatically).

IN OUR BUSINESS

The Signature Experience Framework in Appendix C is designed to create the conditions for a Viral Loop (When existing customers bring in new customers — automatically). When people buy something they feel proud of and want to talk about, the Viral Loop (When existing customers bring in new customers — automatically) starts on its own.

WHY IT MATTERS

A business that relies only on its own marketing spends constantly to grow. A business with a Viral Loop (When existing customers bring in new customers — automatically) grows because its customers are doing part of the work. That is why the Signature Statement asks: "Would a customer tell someone else about this?"

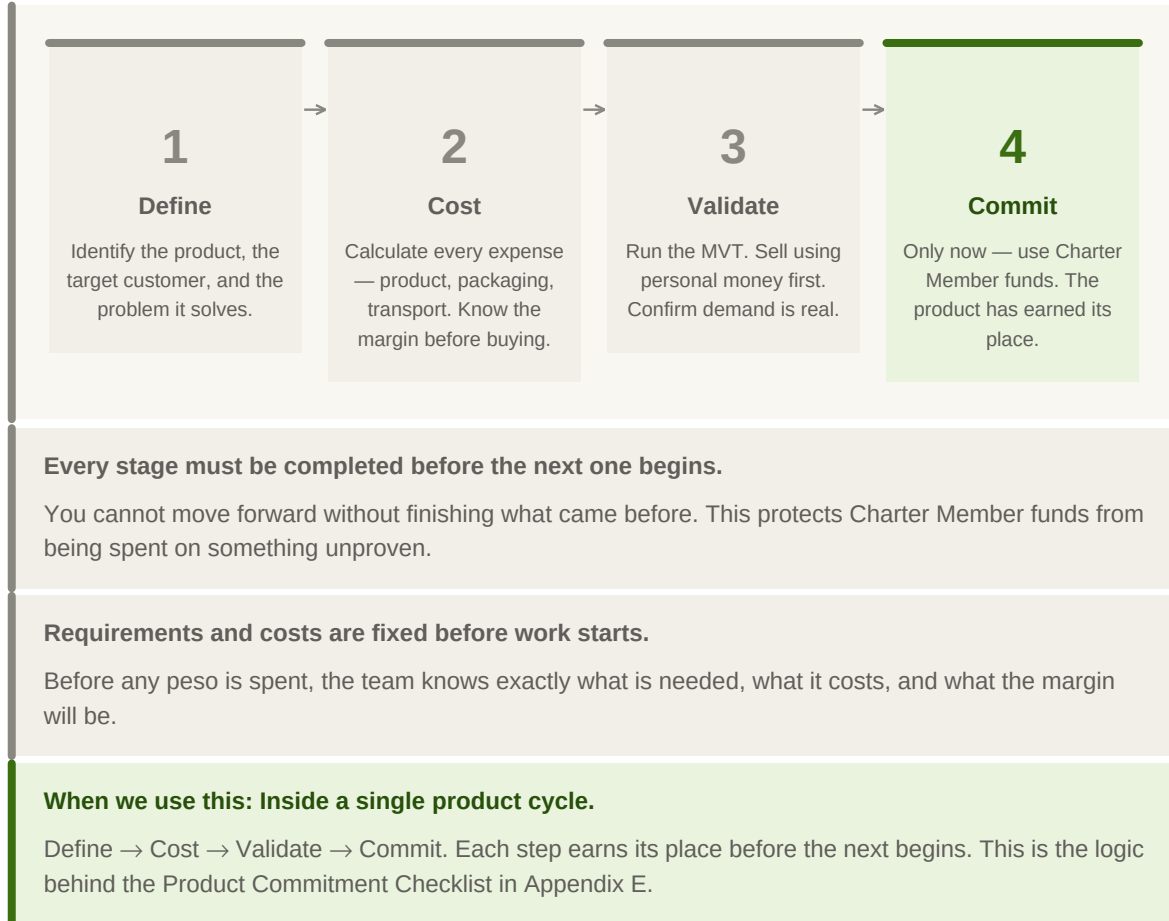
These terms are not required reading before the business can operate. They are here so that when they appear in a conversation, a report, or a review — no one is left behind. Every person on this team, regardless of background, deserves to understand exactly what is being discussed.

Development Methodology

Two ways of building a product. This business uses both — each one in the right place.

Sequential Development

Build completely before you launch



Agile Development

Launch small, learn fast, improve



Start with the smallest version that can be sold and tested. Learn from real customers — not from assumptions.

Launch → Test → Learn → Improve. Repeat.

Each cycle produces a better product. The goal is not perfection on the first try — it is learning fast enough to get there before the money runs out.

When we use this: Across product cycles.

The MVT in Appendix E is Agile thinking in practice. Sell first with personal money. Learn what the market says. Then scale with Charter Member funds.

How They Work Together

Sequential inside each product.

Before any Charter Member money is spent, the team follows a fixed order: define, cost, validate, commit. No skipping steps.

Agile across products.

The business does not wait for one product to be perfect before exploring the next. Each product cycle is a new loop — start small, learn, improve, or pivot.

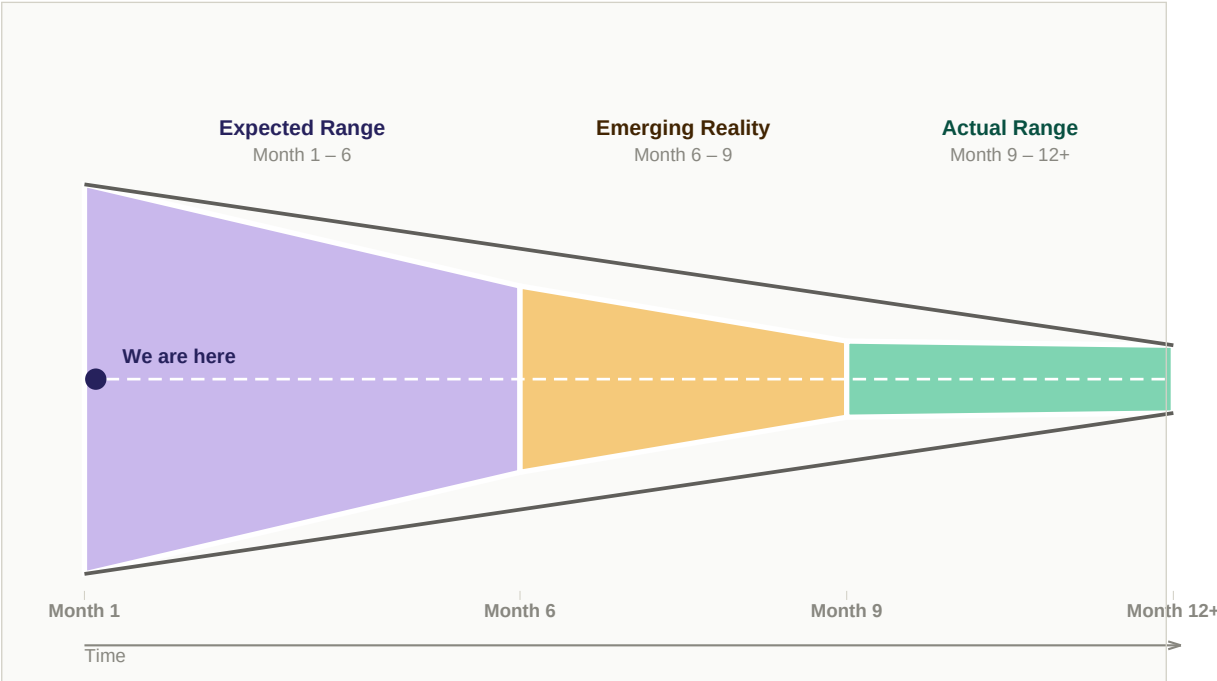
Together, they protect the business.

Sequential protects the money. Agile protects the direction. One ensures we do not spend without a plan. The other ensures we do not keep a plan that is not working.

This is not theory. Every framework in this document — the MVT, the Flag System, the Budget Phases, the Product Filters — is either Sequential or Agile in practice. Knowing the difference helps the team understand why each step exists.

Cone of Uncertainty

In the early months, this is what we expect to earn. Over time, this is what becomes realistic.



Month 1	Month 6	Month 12+
Expected Range	Emerging Reality	Actual Range
Income PHP 0 – PHP 5,000+	Income PHP 800 – PHP 2,500	Income PHP 1,500 – PHP 2,000
Product Not yet decided	Product 1–2 items proven	Product Proven. Next in planning.
Customers Unknown — not sold yet	Customers Seeing who returns	Customers Regular buyers identified
Everything is wide open. This is normal. The MVT exists for this moment.	Real data now exists. Flag System activates here.	Predictable. Charter Member return timeline clearer.

A wide range at the start is normal.

Every new business begins with high expectations and limited data. The wide range in Month 1 is not a problem — it is an honest acknowledgment that we have not sold yet. The plan exists to turn expectations into real numbers, faster.

Every sale, every record, every review narrows the cone.

The MVT, the Flag System, and the monthly financial reports are not just procedures — they are how the business moves from expectation to reality. Each one produces real data that replaces assumptions.

Charter Members enter at the expected range — and exit at the actual one.

The 24-month return timeline exists because the realistic range is not yet known at the start. As the cone narrows and real numbers emerge, the return becomes more predictable. This is why monthly reporting is non-negotiable from day one.

The narrowing cone is not the business shrinking — it is the business becoming clearer. What started as expectation becomes evidence. What started as hope becomes an actual, manageable number.

Audience-Aligned Visual Strategy

A brand is not just what you sell — it is what people feel when they encounter you. This framework defines how the department presents itself visually, ensuring every product, material, and touchpoint communicates the same thing: quality you can trust, from people who belong to you.

The Design Principle

All visual decisions are based on the target audience — not personal preference. The department adopts a premium but approachable visual identity, balancing perceived value with accessibility.

The goal is to create a product experience that feels high-quality but not intimidating — encouraging trust and repeat engagement within the community.

Color Direction

The department uses a three-color system — deliberately chosen for what each color communicates to the community it serves.



Black

#2C2C2A · #444441

Professionalism, consistency, and perceived quality. Black anchors every material — it is the foundation on which everything else is built.



Violet

#8B6FFF · #5B33E0

Identity, creativity, and community warmth. Violet gives the department its personality — the color people will associate with who you are.



Gold

#DAA520 · #B8860B

Used sparingly — small details, highlights, and finishing touches. Gold adds a sense of meaning, value, and identity without overpowering. It must never dominate.

Usage Guidelines

Each color has a specific job. Using them outside of their role weakens the system.

Black — dominant base

Used as the primary color across all materials. Backgrounds, text, packaging, labels. Black creates the professional baseline everything else rests on.

Violet — identity & distinction

Used for brand elements, section markers, and key visual moments. It is what makes the department's materials recognizable as ours.

Gold — minimal accent only

Reserved for small details only — a border, a highlight, a finishing touch. If gold is everywhere, it means nothing. Used sparingly, it elevates everything around it.

Rule of thumb: If you are unsure whether to use gold on something — don't. Gold earns its place. Use it only when something truly deserves to be highlighted.

Design Principles

Three rules that govern every visual decision the department makes — on products, materials, booths, and communications.

1. Two to three colors maximum per material.

Every label, poster, and packaging piece uses only 2 to 3 colors from the palette. More colors create noise. Fewer colors create presence.

2. Clean, minimal, and consistent across all products and touchpoints.

Every material the department produces should look like it came from the same place. Consistency is what turns a transaction into a brand.

3. Avoid both extremes — not overly luxurious, not overly playful.

Overly luxurious creates distance — it makes people feel they cannot afford it or do not belong. Overly playful reduces perceived value — it signals cheapness. Stay between the two.

Brand Positioning

This color system is a deliberate positioning decision — not just an aesthetic one.



This brand system places the department between luxury and accessibility — the "approachable premium" position. Customers feel they are buying something worth more than what they pay, from people they know and trust. That feeling is what brings them back.

Identity Over Time

A product is what people buy today. An identity is why they come back tomorrow.

Consistency builds recognition.

Every time someone sees a material that looks like the department's — same palette, same clean style, same restrained use of gold — it reinforces the memory of their last positive experience.

Recognition builds trust.

People return to what they recognize. Consistency removes the question of "is this worth it?" because the answer has already been answered — every time they saw the brand before.

Trust builds the department.

This visual system is not about looking good. It is about being remembered — and being remembered as a department that delivers quality, with purpose, consistently.

The subtle use of gold may also carry deeper meaning — a quiet reflection of the values and purpose behind the department. Not every customer will notice it consciously. But they will feel it.

This appendix is a living guide. As the department grows and new products are introduced, refer back here before creating any new material. The goal is never just a new product — it is a consistent identity that people can find, recognize, and trust every time.